Investigation: BRASIL FOODSERVICE GROUP S/A - BFG (CVM code 21865), fiscal year 2011, as it was on 2013-04-30

Statistical signal based on public financial statements. Not an accusation, not investment advice.

Company

Sector: Emp. Adm. Part. - Comércio (Atacado e Varejo) (origin: FCA); group: non-financial.
Before 2012, the company was called CASUAL DINING PARTICIPAÇÕES S/A.
nenhum código de negociação no FCA entregue até a data (nos dados abertos, o campo só vem preenchido a partir do FCA de 2018)

Document used

2011 DFP, version 1, filed on 2012-03-30; origin: open data; type: individual; original scale: UNIDADE.
Versions known on the date: 1 (2012-03-30).
Document at the CVM: http://www.rad.cvm.gov.br/ENETCONSULTA/frmDownloadDocumento.aspx?CodigoInstituicao=1&NumeroSequencialDocumento=15808

Possible manipulation (engine v1, study 1)

Financial risk (context only)

Altman Z'' (financial risk, context only)
  Value: 0.628 (index)
  Components: X1 = 0.124; X2 = −0.034; X3 = −0.006; X4 = −0.027 (indices)
  Percentile in sector and year: 30 (n = 603); percentile in the non-financial universe: the sector has fewer than 10 companies with a value
  The company's own history: fewer than 5 previous fiscal years with a value
  - No cut-off zone: the available source does not define zones for Z''
  - Coefficients estimated outside Brazil; bankruptcy models lose validity over time (Pereira and Martins 2015, p. 25)

Financial quality (context only)

Piotroski F (financial quality, context only)
  Value: F = 5/9 (7 computable)
  Signals:
    - Return on assets (ROA): 0
    - Operating cash flow on assets (CFO): 1
    - Change in ROA: 1
    - Cash above earnings (ACCRUAL): 1
    - Change in leverage: 1
    - Change in current ratio: 1
    - No equity issuance (EQ_OFFER): —
    - Change in gross margin: —
    - Change in asset turnover: 0
  - No equity issuance (EQ_OFFER), from the cash flow statement: 6.03 lines of the frozen "emissões" pattern (reconnaissance, part 4.2), only those about shares or capital, as the article defines it ("did not issue common equity", p. 9); adaptation: preferred shares also count, because in Brazil they are equity, and the line is identified by text in the cash flow statement

Changes

Restatement through the following year's comparative: no difference above the tolerance, or the next year's DFP did not exist yet on the date.

What was known on the date

- DFP 2010, v1: 2011-03-30
- FCA 2011, v1: 2011-03-30
- FCA 2011, v2: 2011-05-04
- FCA 2011, v3: 2011-05-05
- FCA 2011, v4: 2011-05-25
- FCA 2011, v5: 2011-07-11
- FCA 2011, v6: 2011-07-23
- FCA 2011, v7: 2011-07-29
- FCA 2011, v8: 2011-11-11
- FCA 2011, v9: 2011-12-27
- DFP 2011, v1: 2012-03-30
- DFP 2012, v1: 2013-04-12

DFP and FCA filed with the CVM by the reference date; ITR comes in a later phase.
Material facts and market notices filed by the date (IPE open data, since 2010): 0 material fact documents and 1 market notice documents.
No material fact filed in the 24 months before the date (from 2011-05-01 to 2013-04-30).
Older material facts, the market notices and the link to each document are in the JSON and on screen.
Material facts and market notices filed with the CVM by the date, from the IPE open data (since 2010): filing date, category, subject (as filed, in Portuguese) and link. The content of the documents is not downloaded, read or summarized, and the list generates no alert, score or ranking. The counts are of documents: versions, resubmissions and English versions count separately; in the list, versions of the same document and documents with the same date, category and subject appear on a single line, with a link to each one.

Data quality

53 applicable checks; 0 failed.

Auditor's report and auditor (factual section; no alert)

Auditor's report: Sem Ressalva (unqualified).
Excerpt checked literally: "Em nossa opinião, as demonstrações financeiras acima referidas apresentam adequadamente, em todos os aspectos relevantes, a posição patrimonial e financeira da Brasil Foodservice Group S.A. em 31 de dezembro de 2011, o desempenho de suas operações e os seus fluxos de caixa para o exercício findo naquela data, de acordo com as práticas contábeis adotadas no Brasil e de acordo com as normas internacionais de relatório financeiro (IFRS) emitidas pelo International Accounting Standards Board - IASB e as práticas contábeis adotadas no Brasil."
Auditor in the 2010 FCA: HORWATH, BENDORAYTES, AIZENMAN e Cia Auditores Independentes.
Auditor in the 2011 FCA: Ernst & Young Terco Auditores Independentes S/S, HORWATH, BENDORAYTES, AIZENMAN e Cia Auditores Independentes.
Auditor in the 2012 FCA: HORWATH, BENDORAYTES, AIZENMAN e Cia Auditores Independentes.
Auditor changes (one line per change, canonical name by the firm's CVM code):
- 2011: entry of Ernst & Young Terco Auditores Independentes S/S, with no other firm leaving.
- 2012: exit of Ernst & Young Terco Auditores Independentes S/S, with no other firm entering.
  The FCA does not have the dates needed to count the outgoing firm's fiscal years.

Auditor rotation: under CVM Resolution No. 23/2021, art. 31, the same independent auditor may not serve the same client for more than five consecutive fiscal years, with a minimum interval of three fiscal years before being hired again; under art. 31-A, the term is up to ten consecutive fiscal years when the company has a statutory audit committee in permanent operation and the auditor is a firm. The Resolution has been in force since 2021-04-01 (art. 41); before that, the equivalent rule was in arts. 31 and 31-A of CVM Instruction No. 308/1999, revoked by the Resolution (art. 40, I). A change of auditor is a fact, not an alert.

Document excerpts (copied; no alert)

Excerpts copied from the documents, with the page, and the Reference Form table. It is not a

signal family: it generates no alert, score or ranking. Absence of mention does not prove absence.
How the reader was tested: 22 held-out cases, a single measurement with the frozen reader (dd688da): precision 0.973, coverage 0.915, literal check on 146 of 146 excerpts, no natural-person name (docs/leitor_medida_f1_2.json).

Explanatory notes · Related parties
Note: 5. Partes relacionadas (pages 5 to 7)
- [parent company] “Em 8 de novembro de 2011, a Companhia adquiriu debêntures da terceira emissão da sua controladora” (p. 6, original excerpt in Portuguese)
- [subsidiaries; other related parties] “Brasil Foodservice Manager S.A. (“BFM”), sociedade controlada pelos mesmos acionistas da” (p. 6, original excerpt in Portuguese)

Fields of item 18 of CPC 05 (R1)
- [balances] “Os saldos com partes relacionadas se resumem como segue:” (p. 5, original excerpt in Portuguese)
- [terms and conditions] “Brasil Private Equity Group S.A. 12% a.a. 11.920” (p. 6, original excerpt in Portuguese)
- [terms and conditions] “Brasil Foodservice Manager S.A. 12% a.a. 100.261” (p. 6, original excerpt in Portuguese)
- [amount of the transactions] “BPE, no montante de R$ 50.127, com as seguintes características:” (p. 6, original excerpt in Portuguese)
- Excerpt omitted; see page 6 of the document
- [terms and conditions] “3ª Emissão (série única) 03/11/2011 03/11/2013 Privada 2 R$ 50.127 IPCA + 13% 51.478” (p. 6, original excerpt in Portuguese)
- [amount of the transactions; terms and conditions] “Sobre as debêntures incidem juros remuneratórios capitalizados mensalmente, pela emissora, até o 6º mês, a razão de 1,0237% a.m., acrescidos da variação acumulada do IPCA. Os juros remuneratórios serão recebidos mensalmente a partir do sétimo mês, a razão de 1,0237% a.m. acrescidos da variação acumulada do IPCA.” (p. 6, original excerpt in Portuguese)
- [amount of the transactions] “Companhia, no montante de R$ 149.650. Em 8 de dezembro de 2011, a Companhia adquiriu mais” (p. 6, original excerpt in Portuguese)
- [amount of the transactions] “5.035 debêntures da segunda série da segunda emissão privada de da BFM, no montante de” (p. 6, original excerpt in Portuguese)
- [amount of the transactions] “privada de debêntures da BFM, no montante de R$ 6.625.” (p. 6, original excerpt in Portuguese)
- [terms and conditions] “2ª Emissão (1ª aquisição) 01/11/2011 01/11/2013 Privada 15 R$ 149.650 IPCA + 13% 153.341” (p. 6, original excerpt in Portuguese)
- [terms and conditions] “2ª Emissão (2ª aquisição) 01/11/2011 01/11/2013 Privada 5 R$ 51.301 IPCA + 13% 52.771” (p. 6, original excerpt in Portuguese)
- [terms and conditions] “3ª Emissão (serie única) 30/12/2011 30/12/2013 Privada 7 R$ 6.626 IPCA + 13% 6.626” (p. 6, original excerpt in Portuguese)
- [amount of the transactions; terms and conditions] “As debêntures da segunda e terceira emissões remuneram juros de 1,0237% a.m. capitalizados mensalmente até o sexto mês, acrescidos da variação acumulada do IPCA. Os juros remuneratórios serão recebidos mensalmente a partir do sétimo mês.” (p. 6, original excerpt in Portuguese)

Explanatory notes · Reverse factoring and forfaiting
The reader found no mention of reverse factoring (risco sacado), forfaiting or supplier agreements in the notes of this DFP. Absence of mention does not prove absence of the operation.

Auditor's report
Type of opinion: unqualified
- [emphasis of matter] “Ênfase Sem ressalvar nossa opinião, chamamos atenção para o fato que a Companhia ainda não aufere receitas operacionais e, consequentemente, apurou prejuízo de R$ 6.668 mil no exercício findo em 31 de dezembro de 2011. Adicionalmente, em 31 de dezembro de 2011, a Companhia apresenta total de passivos superior ao total de ativos, os quais são

substancialmente compostos por saldos a receber de partes relacionadas. Essas condições indicam a existência de incerteza que pode levantar dúvida quanto à capacidade de continuidade operacional da entidade. Conforme detalhado na Nota 1, a liquidação dos passivos assumidos está condicionada ao sucesso no recebimento dos créditos com partes relacionadas, bem como a aportes financeiros de seus acionistas. As demonstrações financeiras foram preparadas no pressuposto de continuidade normal das operações e não contemplam quaisquer ajustes que poderiam decorrer do fato da Companhia não obter êxito com as referidas medidas." (original excerpt in Portuguese)
- Excerpt omitted; see the auditor's report in the document

Reference Form
Form of 2012, version 3, filed on 2012-11-19.
It is the only version available in the open data; earlier versions are not there.
- Related party (name omitted) · Controladora · Debêntures · 50000000.00 · R$ 55.706.200,00 em 30/06/2012
- Related party (name omitted) · Sociedade de controle comum · Debêntures · 200000000.00 · R$ 233.027.600,00 em 30/06/2012
- Related party (name omitted) · Sociedade de controle comum · Debêntures · 81973000.00 · R$ 89.265.318,08 em 30/06/2012
- Related party (name omitted) · próprio emissor · Debêntures · 136833380.90 · 0

Limits of this section:
- In real documents, about 22% of the excerpts come out omitted by the name detector, including names of companies outside the registry.
- In tables, a header line (years, column titles) may still come out as an excerpt: in the reader's measurement, 1 of 19 header texts of the held-out cases came out as excerpts.

How the engine was tested

In study 1, engine v1 detected 7 of 13 detectable cases, with 108.3 false alarms per detected case over the whole period and an alert rate of 49.9% among evaluated non-financial company-years (docs/summary.md).

Limits

- No alert is not a clean bill of health. In Dechow, Sloan and Sweeney (1995), the most powerful accruals model rejected 'no manipulation' for only 28.1% of 32 companies sanctioned by the SEC (Table 7, p. 32).
- In study 1, 49.9% of evaluated non-financial company-years (48.3% including financial companies) were in alert, and the number of detections did not beat chance in a descriptive test done after the result: 7 detections in 13 detectable cases, against 7.37 expected by chance without assuming independent years (8.56 assuming independent years).
- Risk models use numbers that may be manipulated (Pereira and Martins 2015, p. 29). That is why the three families are not added up.

Limitations

- Context indicators (Altman Z'' and Piotroski F) were not validated in Brazil by this project and do not trigger alerts

Evidence in the JSON: 36 DFP lines, each with document, version, filing date, account and location.

Engine

motor v1 (estudo 1), branch estudo-1-final, commit 8c9a823; chiocca.v2 (produto, fases B a F1); leitor-f1-2 (commit dd688da). The generation date is in the demo manifest (demo/manifesto.json).

Today's information (outside the reference date)

Registry status: CANCELADA. Source: CVM registry of listed companies (cad_cia_aberta.csv), in

the version downloaded for the project, not on the reference date.
Name in today's registry: BRAZAL - BRASIL ALIMENTOS S.A.